

Cooperative Enforcement

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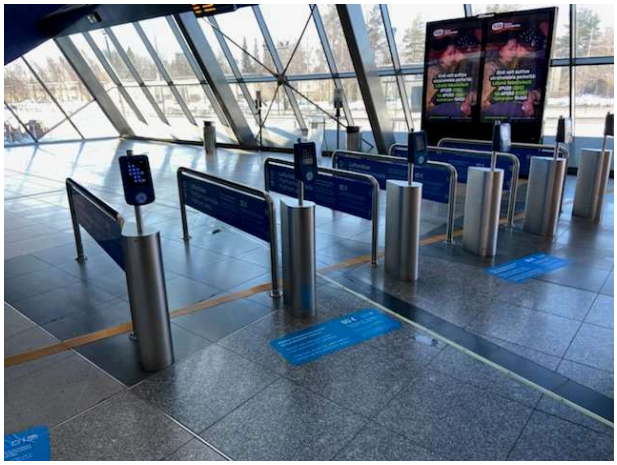
Learning Objectives

After taking this class, you will be able to：

- *understand* the limitation of conventional environmental regulation
- *understand* how cooperative enforcement is different from conventional environmental regulation
- *illustrate* how cooperative approach of environmental regulation works in practice

Challenges to the Assumptions of Command-and-Control Approach

Another Set of Behavior Assumptions…





Another Set of Behavior Assumptions…

- Enterprises do not always ignore their environmental and social responsibility.
  - Corporate Social Responsibility (CSR)
  - Environmental, Social, and Governance (ESG)
- Environmental investment is not always a cost for enterprises. It can benefit the enterprises as well.

Corporate Social Responsibility (CSR)

- A self-regulating business model
- Emphasize self-regulation and voluntary compliance
- *Go beyond* legal and contractual obligations, on a voluntary basis
- A moral practice
- Sacrificing profits in the social interest

- *It is not charity. It is more about how companies earn their profits than how they spend them.*



(Benabou and Tirole, 2010)

Environmental, Social, and Governance (ESG)

- ESG stands for Environmental, Social, and Governance.
- Investors are increasingly applying these non-financial factors as part of their analysis process to identify material risks and growth opportunities.



Markets and customers also reward enterprises' green behavior.

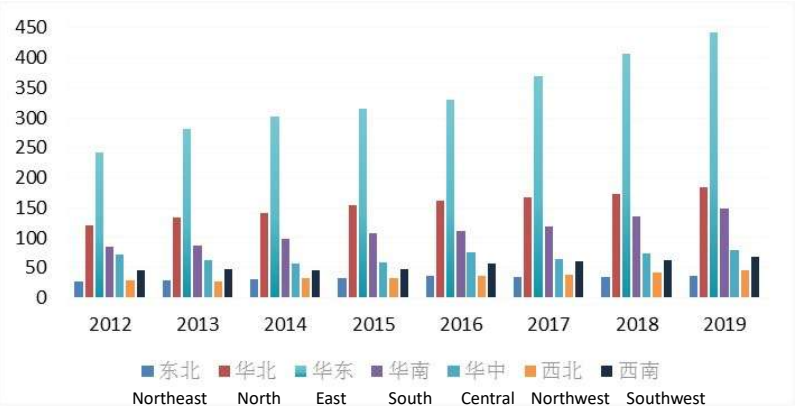
- Win-win situation (doing well by doing good)： CSR is about taking a long-term perspective to maximizing (intertemporal) profits.

Name	Morningstar	Risk	1-year change	Sustainability
Nordea Savings 50	★★★★★	4	20,30 %	A
Nordea Finnish Passive Fund B growth	★★★☆☆	6	30,10 %	AAA
Nordea 1 - Global Climate and Environment Fund	★★★★★	6	44,98 %	AA
Nordea Global Passive Fund B Growth	★★★★☆	5	36,23 %	A
Nordea North America Enhanced	★★★☆☆	6	38,51 %	A
Nordea Savings 75				
Nordea Savings 30				
Nordea European Enhanced Equity Fund				
Nordea Emerging Markets Enhanced Equity Fund				
Nordea Finnish Stars				

MSCI ESG rating

Measures a fund on how well the companies they invest in handle environmental, social and governance (ESG) issues and risk. Follows MSCI's ESG fund rating.

Evaluation Report on the ESG of Chinese Listed Companies (2019)



- According to the data of 2019, 1006 enterprises of the total number of 3939 listed companies published ESG reports.
- The evaluated information disclosure score of these ESG reports is 33.44 on average, which indicates a two-star level in general.

Voluntary Program as a Way of Environmental Governance

ISO and ISO14001

- International Organization for Standardization: ISO is an independent, non-governmental international organization with a membership of 166 national standards bodies.



ISO 14001

- Started in 1996, ISO 14001 is the international standard that specifies requirements for an effective environmental management system (EMS).
- Complex Procedure:
  - To receive ISO 14001 certification, a facility must undertake an initial comprehensive review of its environmental practices and systems, formulate and implement an action plan for environmental management, identify internal governance responsibilities for environmental issues, and have a plan to correct environmental problems.
- Goal:
  - The explicit goal of ISO 14001 is to improve businesses' regulatory and environmental performance by having participating firms adopt stringent EMSs.

ISO 14001 and its Costs

- The monetary and nonmonetary costs of establishing an ISO 14001 EMS, having it certified and then maintaining it, are nontrivial.
- For a moderate sized firm with 10 facilities, initial monetary costs could range from $250,000 to $1,000,000.
- The ongoing costs of maintaining ISO 14001 certification are also important, including the time, money, and expertise for day-to-day operations and preparing for future annual recertification audits.

Beyond Compliance

Does ISO 14001 improve environmental performance?

- Joining ISO 14001 does improve regulatory compliance beyond what likely would have occurred had the facilities not joined. (Potoski and Prakash, 2005)
- Firms that adopted EMSs reported levels of environmental performance relatively better than non-adopters. (Darnall and Kim, 2012)
- Facilities that certify to ISO 14001 may be more likely to monitor the environmental performance suppliers. (Arimura and others, 2011)

Extension: Can we directly compare the compliance outcome of the two groups when examining whether a policy program is effective or not?

Pop-up question:

We have talked about the types of goods in the very first lecture of the course. Which type of goods do the voluntary programs belong to?

Green Clubs and Voluntary Governance

- Voluntary programs require participants to incur specific private costs to produce public goods.
- In return, participants receive benefits that are excluded from nonparticipants, thereby creating incentives to join the program.
- Low costs for the regulatory agencies to achieve compliance outcomes

Changing Regulatory Strategies

Exploring Regulatory Strategies that induce "beyond compliance" I

- "Tit-for-tat" strategy of regulation
- Differential enforcement

  Guidelines on Strengthening the Management of the Positive List for Ecological Environment Supervision and Enforcement to Promote Differentiated Law Enforcement Supervision



- Environmental Credit System

  "Guiding Opinions on Strengthening the Construction of Corporate Environmental Credit System"

Environmental Credit Evaluation Results for Enterprises and Institutions



Exploring regulatory strategies that induce “beyond compliance” II

- Emphasize the role of educating and persuading in the regulatory process
- Repeated interaction and trusting building among the regulators and regulatees
- The importance of information exchange and communication is highlighted.

Cooperative Regulation

- The motivation of the regulated in more complex than rational economic actors. They are are influenced by a mix of civic and social motives.
  - Limited capacity of inspection → low capacity of detecting violations
- Emphasizes securing compliance rather than sanctioning wrongdoing
- Rely far more on rewards and incentives than penalties

Class Activity II:

Comparing and Contrasting Command-and-Control Regulation and Cooperative Regulation

Coercive vs. Cooperative Regulation

	Coercive Regulation	Cooperative Regulation
Assumption		
Instruments		
Regulatory Objective		
Emphasis		
Potential Implementation Challenges		

Coercive vs. Cooperative Regulation

	Coercive Regulation	Cooperative Regulation
Assumption	Regulated entities are pure economic man with no social responsibility. Cooperation is unlikely from affected entities.	Regulated entities can be motivated by factors other than economic profits. Regulated entities are willing to cooperate.
Instruments	Monitoring and enforcement Penalties or sanctions	Technical assistance; public education; persuading; research funding
Regulatory Objective	Adherence to prescribed standards	Achieving regulatory goals
Potential Implementation Challenges	Insufficient capacity of monitoring and sanction	Difficult to deal with recalcitrant entities

Class Activity III:

As voluntary program is such beneficial, do we still need conventional command-and-control regulation? Why?

Mixed Effects of Voluntary Programs

- Voluntary programs appear to work best under threat of looming mandatory regulation.
- It is a supplement, but it cannot replace command-and-control regulation.
- Long-term effect is questionable. (Khanna and Damon, Innes and Sam)

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